Taxing Wages 2025: Colombia

OECD

Taxing Wages - Colombia

Tax on labour income

The ***tax wedge*** is a measure of the tax on labour income, which includes the tax paid by both the employee and the employer.

TAX WEDGE ON LABOUR INCOME

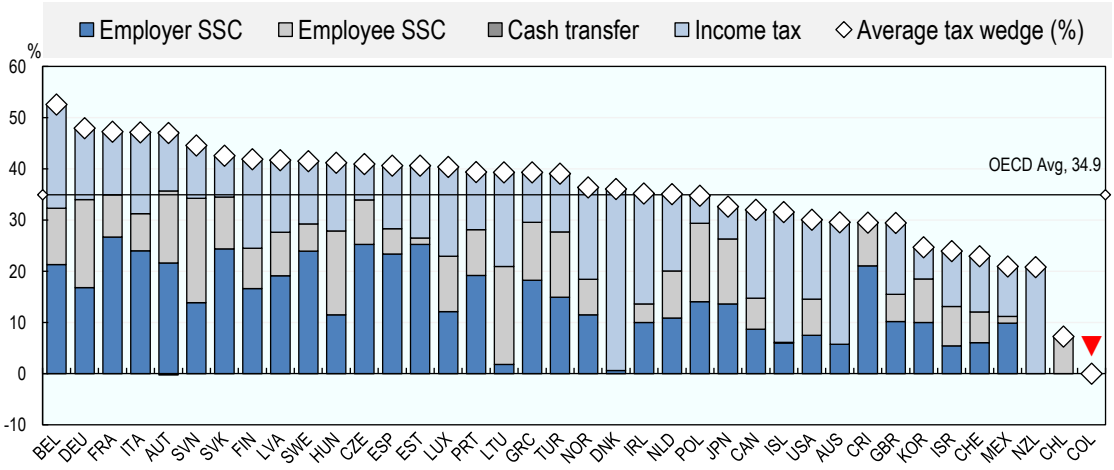
$$\frac{((Personal\ income\ tax + \ employee\ and\ employer\ social\ security\ contributions\ (SSCs)) - Family\ Benefits)}{(Total\ labour\ costs\ (gross\ wages\ + \ employer\ SSCs))}$$

Single worker

» The tax wedge for the average single worker in Colombia remained unchanged at 0.0% in 2023 and 2024. The OECD average tax wedge in 2024 was 34.9% (2023, 34.9%). In 2024, Colombia had the lowest tax wedge among the 38 OECD member countries, occupying the same position in 2023.

» In Colombia, the single worker at the average wage level did not pay personal income taxes in 2024, whereas their contributions to pension, health and employment risk insurances are considered to be non-tax compulsory payments (NTCPs) and therefore are not counted as taxes in the Taxing Wages calculations. Please refer to the NTCP report (https://www.oecd.org/content/dam/oecd/en/topics/policy-issues/tax-policy/non-tax-compulsory-payments.pdf).

Average tax wedge: average single worker, no children



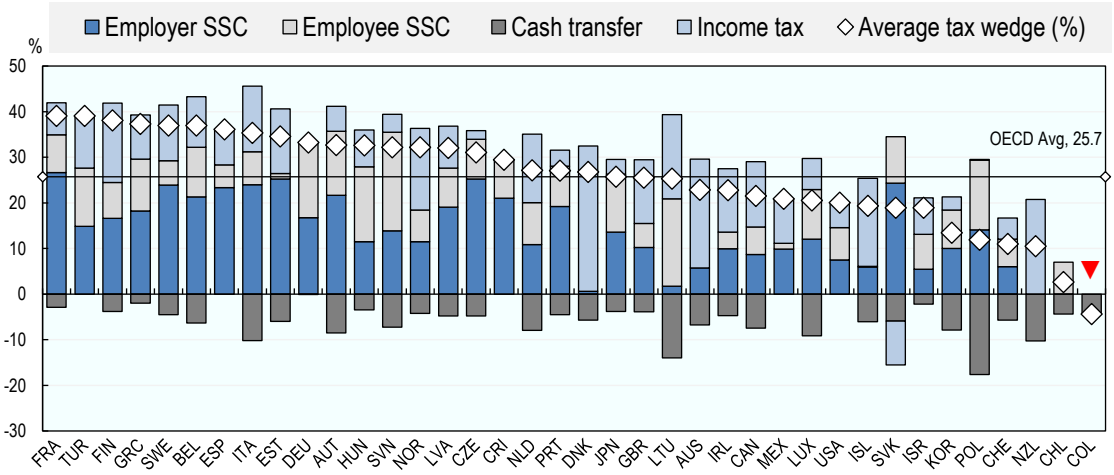
One-earner married couple with two children

The tax wedge for a worker with children may be lower than for a worker on the same income without children, since most OECD countries provide benefits to families with children through cash transfers and preferential tax provisions.

» Colombia had thelowest tax wedge in the OECD for an average married worker with two children at -4.4% in 2024, which compares with the OECD average of 25.7%. The country occupied the same position in 2023.

» Child related benefits and tax provisions tend to reduce the tax wedge for workers with children compared with the average single worker. In Colombia in 2024, this reduction (4.4 percentage points) was less than the OECD average (9.2 percentage points).

Average tax wedge: One-earner married couple at average earnings, 2 children

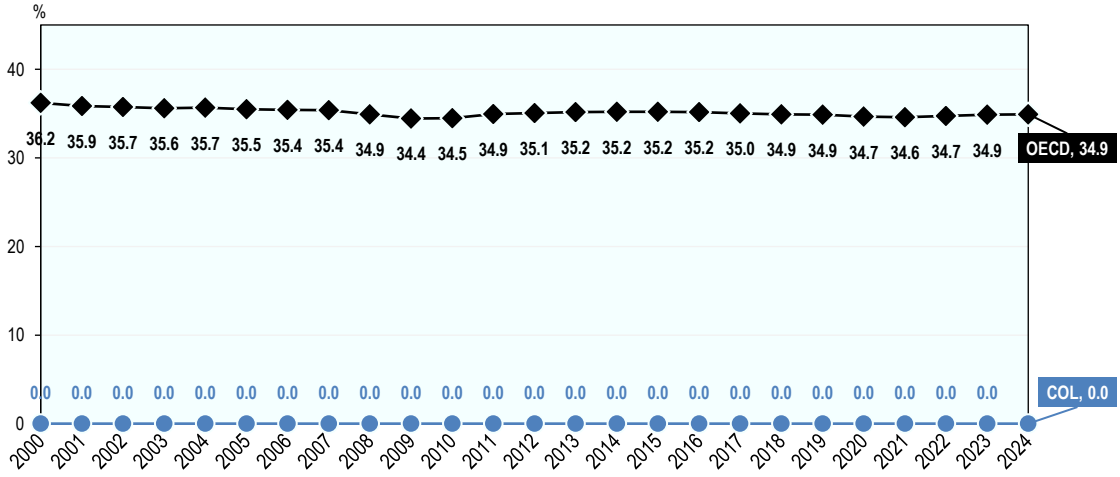


Tax wedge trends between 2000 and 2024

» In Colombia, the tax wedge for the average single worker remained at 0.0% between 2000 and 2024. During the same period, the average tax wedge across the OECD decreased by 1.3 percentage points from 36.2% to 34.9%.

» Between 2009 and 2024, the tax wedge for the average single worker has been steady at 0.0% in Colombia. During this same period, the tax wedge for the average single worker across the OECD increased slowly to 35.2% in 2013 and 2014 before decreasing back to 34.9% in 2024.

Average tax wedge over time for a single worker



Employee tax on labour income

The employee net average tax rate is a measure of the net tax on labour income paid directly by the employee.

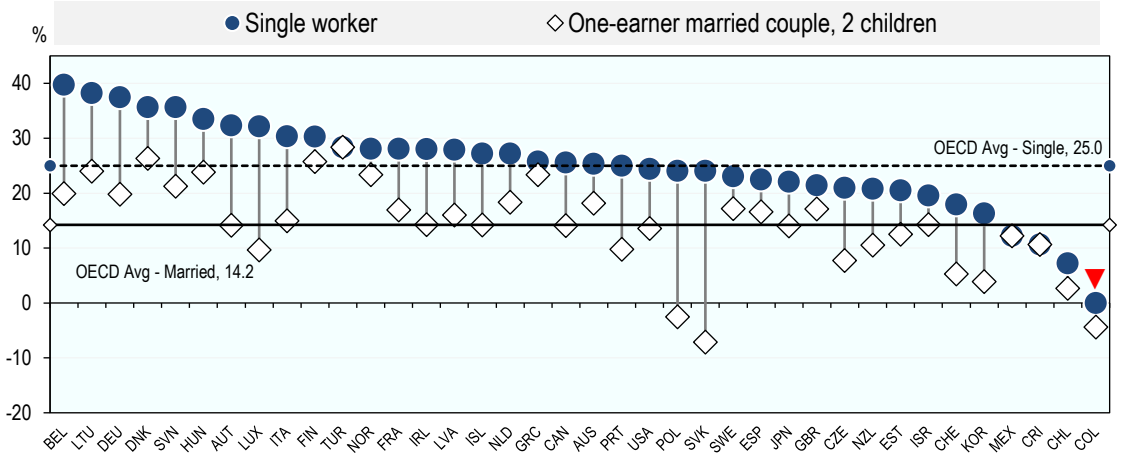
EMPLOYEE NET AVERAGE TAX RATE

$$\frac{(Employee\ personal\ income\ tax\ and\ employee\ social\ security\ contributions) - Family\ Benefits}{Gross\ wages}$$

» In Colombia, the average single worker faced a net average tax rate of 0.0% in 2024, compared with the OECD average of 25.0%. In other words, in Colombia the take-home pay of an average single worker, after tax and benefits, was 100.0% of their gross wage, compared with the OECD average of 75.0%.

» Taking into account child related benefits and tax provisions, the employee net average tax rate for an average married worker with two children in Colombia was -4.4% in 2024, which is the 37th lowest in the OECD, and compares with 14.2% for the OECD average. This means that an average married worker with two children in Colombia had a take-home pay, after tax and family benefits, of 104.4% of their gross wage, compared to 85.8% for the OECD average.

Employee net average tax rate



For further information: https://oe.cd/taxingwages2025-en

Contacts

Kurt Van Dender
Centre for Tax Policy and Administration
Head, Tax Policy and Statistics Division
Kurt.VanDender@oecd.org

Alexander Pick
Centre for Tax Policy and Administration
Head, Tax Data & Statistical Analysis Unit
Alexander.Pick@oecd.org

Edoardo Magalini
Centre for Tax Policy and Administration
Statistician/Junior Analyst
Edoardo.Magalini@oecd.org

This work is published under the responsibility of the Secretary-General of the OECD. The opinions expressed and arguments employed herein do not necessarily reflect the official views of the Member countries of the OECD.

This document, as well as any data and map included herein, are without prejudice to the status of or sovereignty over any territory, to the delimitation of international frontiers and boundaries and to the name of any territory, city or area.

The statistical data for Israel are supplied by and under the responsibility of the relevant Israeli authorities. The use of such data by the OECD is without prejudice to the status of the Golan Heights, East Jerusalem and Israeli settlements in the West Bank under the terms of international law.

The full book is available in English: OECD (2025), Taxing Wages 2025: Decomposition of Personal Income Taxes and the Role of Tax ReliefsTaxing Wages, OECD Publishing, Paris, https://doi.org/10.1787/b3a95829-en

© OECD 2025

Attribution 4.0 International (CC BY 4.0)

This work is made available under the Creative Commons Attribution 4.0 International licence. By using this work, you accept to be bound by the terms of this licence (https://creativecommons.org/licenses/by/4.0/).

Attribution – you must cite the work.

Translations – you must cite the original work, identify changes to the original and add the following text: *In the event of any discrepancy between the original work and the translation, only the text of original work should be considered valid.*

Adaptations – you must cite the original work and add the following text: *This is an adaptation of an original work by the OECD. The opinions expressed and arguments employed in this adaptation should not be reported as representing the official views of the OECD or of its Member countries.*

Third-party material – the licence does not apply to third-party material in the work. If using such material, you are responsible for obtaining permission from the third party and for any claims of infringement.

You must not use the OECD logo, visual identity or cover image without express permission or suggest the OECD endorses your use of the work.

Any dispute arising under this licence shall be settled by arbitration in accordance with the Permanent Court of Arbitration (PCA) Arbitration Rules 2012. The seat of arbitration shall be Paris (France). The number of arbitrators shall be one.